

between equity and bonds is 162 basis points. “When earnings yield is that much lower than bond yield, equities are clearly overpriced,” Prasad points out. “And if the RBI hikes interest rates to contain inflation, that gap could get bigger, or there will be a bigger market correction.”

INFLATION: ILLUSION OR SPIRAL?

There is a spectrum of views on inflation and the economy’s ability to tolerate it. There are a multitude of ways that economists and other analysts slice and dice it: food versus non-food, core versus consumer, cost-push versus demand pull (which is analogous to supply side versus demand side) and so on. Inflation is also intensely political.

Energy prices will go up sharply as crude oil and coal prices spiked as a result of the current crisis involving Ukraine and Russia. A meeting of OPEC+—a group that has 23 members that account for 45 per cent of global crude production and of which Russia is co-chair—lasted just 13 minutes on March 2. Not surprisingly, they held the line on production; after all, they are happy to take the benefits of the price increase.

“Sanctions may not be imposed beyond the end of March or April; at least that’s the hope,” says Madan Sabnavis, until recently chief economist at CARE Ratings, and currently Chief Economist at Bank of Baroda. “India’s GDP growth for this year—FY22—is unlikely to be impacted, though some volatility in bond and currency markets cannot be ruled out.”

The problem is, inflation may have been suppressed for a while recently. Elections in Uttar Pradesh, Punjab, Goa, Manipur and Uttarakhand necessitated keeping fuel prices untouched even as global crude prices were rising even before the Ukraine crisis; many are also expecting a hike in minimum support prices (MSP) for farmers. Both these are expected to go up. Look out for second order effects as transport prices and freight rates also go up.

Still, public finance—at least right away—will not be a problem. The government’s cash balances with the RBI seem more than adequate and cancelling the auction of some government debt has lowered expectations of problems, and suggest that tax collections will be robust.

“But the increase in oil prices will reduce excise and neutralise

expected revenue gains,” says Indranil Pan, Chief Economist at YES Bank. “The global economy—and thus India—will feel significant pain if oil prices stay this high for an extended period. Demand will cool and supply-side bottlenecks will persist if the crisis persists beyond three months.”

Conducting a nimble monetary policy will be challenging. Many expect the US to withhold interest rate increases; global analysts suggest there may be fewer rate increases, although US Federal Reserve Chairman Jerome Powell is not taking his foot off the brake entirely. There will be policy rate hikes, and with consequences for India’s economy.

Ordinary people were already expecting high inflation even before the crisis. The January 2022 Household Inflation Expectations Survey expected inflation to be higher at 9.7 per cent a month ahead, and at 10.6 per cent in the coming three months, and 10.7 per cent for the coming year. Compare that to the RBI’s target of 4.5 per cent for the year.

Opinions and views on the impact of the crisis—and the consequences of sanctions against Russia—fall into two camps: one believes, maybe even hopes, that the crisis gets over quickly, a second is worried that it may last longer than anticipated and cause some permanent economic damage. No one wants to prepare for the worst possible outcome.

The problem is, despite hope and selective amnesia, India cannot ‘decouple’, as many people thought India could before the global financial crisis of 2008. Then, as now, that impression is wildly inaccurate. In an interconnected global economy, it doesn’t have to be a sneeze that can give the world a cold, or the shivers. **BT**



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